



PRESENTS

CORE TRAINING [EXECUTION]

Advanced Risk and Portfolio Management

with Frank Ochoa, AKA *PivotBoss*
Author, *Secrets of a Pivot Boss*



EXECUTION: ADVANCED RISK AND PORTFOLIO MANAGEMENT

Advanced Risk and Portfolio Management teaches traders powerful concepts and actionable techniques that are designed to mitigate risk, from both a trade and portfolio perspective.

- 1. Assessing Your Risk Profile:** It is important to assess your risk profile as a trader, as tailoring an approach for your risk tolerance offers better odds for success and helps preserve mental capital.
- 2. Equity Model Calculations:** It is important to understand how you want to calculate your equity, so you can begin calculating how to you want to risk portions of the account.
- 3. Percent Risk Position Sizing Model:** This model offers an easy and consistent approach to position sizing that anyone can use, regardless of account size.
- 4. Portfolio Heat:** Limiting the amount of your portfolio that is at risk is also important, which helps to avoid ruin during flash crash or high volatility events.
- 5. Scaling Into Trades:** Scaling into trades offers a prudent approach to mitigating risk at the outset of a trade, and provides flexibility in adding to winning (or losing) trades.
- 6. Scaling According to Risk/Opportunity:** Scaling into trades according to merit offers another powerful approach to risk management



ASSESSING YOUR RISK PROFILE

It is important to assess your risk profile as a trader, as tailoring an approach for your risk tolerance offers better odds for success and helps preserve mental capital. Your ability to read the market and move freely among these categories offers a powerful way to engage the market based on available opportunities.

- 1. CONSERVATIVE RISK PROFILE:** A conservative trader focuses on capital preservation and growth, but seeks to limit risk exposure while executing income-producing trades.
- 2. MODERATE RISK PROFILE:** A moderate trader focuses on growth and looks to increase and decrease risk exposure according to the odds of profitability for a given opportunity.
- 3. AGGRESSIVE RISK PROFILE:** An aggressive trader seeks to rapidly grow an account, and will place directional bets (and add to these bets) as conditions become more favorable. These traders look to capitalize on golden opportunities by adding more exposure to the market.



EQUITY MODEL CALCULATIONS

Basic Portfolio Management begins with understanding different types of Equity Models, which help you understand how to calculate equity. There are three primary equity models, and each will impact your exposure to the markets (and returns) differently.

- 1. Core Equity Model:** This model calculates available equity by subtracting the amount at risk from open positions. This model allows you to risk a percentage of the equity that is not at risk by these open positions.
- 2. Total Equity Model:** This model calculates available equity by taking current equity and adding any net profit or loss from any open positions. This model allows you to risk a percentage of the total equity in the account, including net profit or losses from any open positions.
- 3. Reduced Total Equity Model:** This model is a combination of the two above. The initial position is calculated using the Core Equity Model, but after the initial position begins to produce profit, the Reduced Total Equity Model allows you to risk a percentage of the Total Equity, including any net profits of open positions, so long as stops are applied to secure the profits.



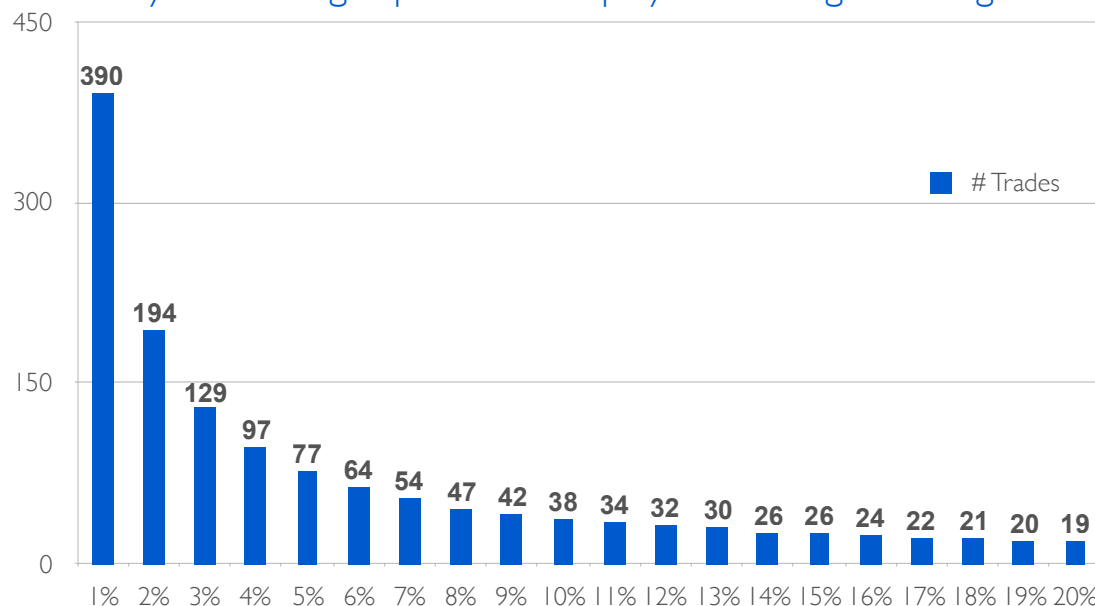
PERCENT RISK POSITION SIZING MODEL

The **Percent Risk Position Sizing Model**, also known as the Fixed Fractional Model, offers a simple, yet powerful, approach to position sizing that can be universally applied to any account size or trading style.

194 LOSERS IN A ROW

A Fixed Risk approach to risk management optimizes your trading capital and keeps you in the game longer.

- **Percent Risk Model:** Determine the position size as of percentage of equity
- **New/Conservative Traders:** Risk no more than 1-2% of account size per trade, with 1% being the preferred amount to be risked
- **Aggressive Traders:** Risk no more than 2.5% of account size per trade
- **Never allocate more than 5% to any one trade**





PIVOTBOSS
MASTERS

PORTFOLIO HEAT

Portfolio Heat is an important, and oftentimes overlooked, concept that helps to stave off catastrophic losses in a portfolio by setting a cap to the amount of total risk that can be exposed to the market at any given time.

- **Portfolio Heat:** The total risk to which a portfolio is exposed
- When the market goes up, all of your long positions will rise
- When the market does down, all of your long positions will fall
- Designed to limit the effects of price shocks that a portfolio can experience when leverage and exposure is high
- Designed to limit the effects of price shocks that a portfolio can experience when flash crashes occur
- The amount of portfolio heat you use should depend on the quality of the system or opportunities present
- **10% Max Portfolio Heat:** Most traders should limit the total amount of equity at risk to 10%
- **20% Max Portfolio Heat:** Experienced traders will use as much as 20-25% portfolio heat



PIVOT BOSS MASTERS SCALING INTO TRADES

Scaling into a trade is the process of building a position by first testing the trade with smaller size, and then adding more scales should the position begin to work in your favor. This approach offers a powerful way to reduce risk at the outset of the trade, while allowing flexibility to add to winning positions.

- Scaling into a position offers a way to limit risk at the outset of a trade
- Scaling into a position has been tested to outperform other scaling approaches, like scaling out of trades
- If the trade is stopped, the loss on the trade will be significantly less than if a full position were executed
- Scaling into a trade is designed to build a position in a winning trade; rewarding the winners
- Limit the total number of scale-ins to three or four
- Scaling into a trade can also allow you to add to a position that has gone against you, essentially allowing you to improve your cost basis (average entry)
- **Use this technique sparingly, as it can be risky adding to losing position (for Experience Traders Only)**



SCALING ACCORDING TO RISK/OPPORTUNITY

Scaling into trades according to your risk profile, or according to the opportunity presenting itself, offers a powerful approach to risk management. Depending on your assessment of a given opportunity, you can scale into trades with conservatively, or more aggressively.

- **CONSERVATIVE APPROACH:**

- Execute initial position by scaling into 1/3 of Total Units allocated to the position
- Add to position in 1/3's as price moves in your favor, ideally at favorable trade location, until full position is held

- **MODERATE APPROACH:** Scale into 1/2 of Total Units allocated to the position

- Execute initial position by scaling into 1/2 of Total Units allocated to the position
- Add the second 1/2 of the position as price moves in your favor, ideally at favorable trade location

- **AGGRESSIVE APPROACH:**

- Execute position by triggering a full position of Total Units allocated to the position
- Add to the position as price moves in your favor, ideally at favorable trade location



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